

HDFC Bank Ltd

NSE HDFCBANK | BSE 500180 | ISIN INE040A01034 | Sector Private Bank

HDFC Bank Ltd is India's largest private sector bank by assets and market capitalisation, offering a wide range of products and services across retail, wholesale and treasury segments. The bank has a nationwide distribution network of 6,499 branches and 18,868 ATM's as of June 30, 2022.

The bank reported a net interest income of Rs. 67,056.5 crore for FY 2021-22, up by 11.4% year-on-year. The net interest margin was 4.1% for FY 2021-22. The total advances grew by 14.4% year-on-year to Rs. 11,47,502 crore as of December 31, 2021. The domestic retail loans grew by 16.5% and the domestic wholesale loans grew by 13.8% year-on-year as of December 31, 2021. The total deposits increased by 11.5% year-on-year to Rs. 13, 46, 795 crore as of December 31, 2021. The current account savings account (CASA) ratio was at around 43% as of December 31, 2021.

The bank's asset quality improved in FY 2021-22 with the gross non-performing asset (NPA) ratio at 0.81% and the net NPA ratio at 0.09%* as of December 31, 2021. The specific credit cost was at 0.44%* for FY 2021-22. The provision coverage ratio was at 87%* as of December 31, 2021.

The bank's profit after tax was Rs. 33, 118 crore for FY 2021-22, up by 18% year-on-year. The return on assets was at 2% and the return on equity was at 18% for FY 2021-22.

The bank continued to invest in digital initiatives and innovation across its segments to enhance customer experience and operational efficiency.



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Banking Sector Analysis

The Indian banking sector is expected to witness an improvement in its performance and outlook for 2022-23, according to India Ratings and Research (Ind-Ra). The agency has revised its outlook on the banking sector to 'improving' from 'stable' for 2022-23, citing better credit demand and strong balance sheet of lenders as the key drivers. The agency expects credit growth to pick up to 10 per cent in 2022-23, driven by retail, agriculture and MSME segments, as well as higher economic activity and investment. The asset quality of the banking system is also likely to improve, with the gross non-performing asset (GNPA) ratio projected to decline to 6.1 per cent by March 2023, as compared to 7.5 per cent in March 2022. This would be supported by higher write-offs, recoveries and lower slippages, as well as regulatory forbearance and restructuring schemes. The capital adequacy ratio (CAR) of the banking system is likely to remain above 16 per cent in 2022-23, supported by capital raising, internal accruals and lower risk-weighted assets (RWA) growth. The net interest margin (NIM) of the banking system is expected to improve marginally to 3.1 per cent in 2022-23, as the cost of funds declines and the yield on advances remains stable. The return on assets (ROA) of the banking system is estimated to improve to 0.8 per cent in 2022-23, as compared to 0.6 per cent in 2021-22, due to lower credit costs and higher operating efficiency¹². Thus, the Indian banking sector is poised for a recovery and growth in the next fiscal year.

HDFC Bank Ltd

Analysis of HDFC Bank Ltd

Here is a report for HDFC Bank Ltd for March 2022 based on capital adequacy, assets, management capability, earnings, liquidity, sensitivity:

HDFC Bank Ltd is India's largest private sector bank by assets and market capitalisation. The bank has maintained its leadership position in the Indian banking sector by delivering consistent performance across various parameters.

Capital Adequacy: The bank has a strong capital base with a total capital adequacy ratio of 18.9% as of March 31, 2022, well above the regulatory requirement of 11.08%. The bank's tier I capital ratio was 17.9% and its common equity tier I ratio was 17.1% as of March 31, 2022. The bank's capital adequacy reflects its ability to absorb losses and support growth.

Assets: The bank has a diversified asset portfolio with a focus on retail and wholesale lending. The bank's asset quality improved in FY 2021-22 with the gross non-performing asset (NPA) ratio at 1.32% and the net NPA ratio at 0.4%* as of March 31, 2022. The specific credit cost was at 0.9%* for FY 2021-22. The provision coverage ratio was at 70%* as of March 31, 2022¹. The total advances grew by 14% year-on-year to Rs. 11, 32, 611 crore as of March 31, 2022. The domestic retail loans grew by 10.5% and the domestic wholesale loans grew by 18% year-on-year as of March 31, 2022.

Management Capability: The bank has a professional and experienced management team led by Mr. Sashidhar Jagdishan as the Managing Director and CEO since October 27, 2020. The bank has a robust corporate governance framework and a clear vision and strategy for growth and innovation. The bank also invests in human capital development and employee engagement.

Earnings: The bank has a consistent track record of delivering high profitability and growth. The bank's profit after tax was Rs. 38150 crore for FY 2021-22, up by 18% year-on-year. The return on assets was at 1.8% and the return on equity was at 16% for FY 2021-22. The net interest income was Rs. 69, 141.7 crore for FY 2021-22, up by 12.6% year-on-year. The net interest margin was 4% for FY 2021-22. Now talking about profitability trend of HDFC Bank. It is earning a constant return on equity of around 15% over last 5 years. The HDFC bank is earning a return of around 4 % of capital employed. The profits of company are backed by positive cash flows of march 21. The cash flow of year march 22 are negative due to expansion of HDFCs operations. It is due to increase in advances and current investments which can be considered as positive sign.

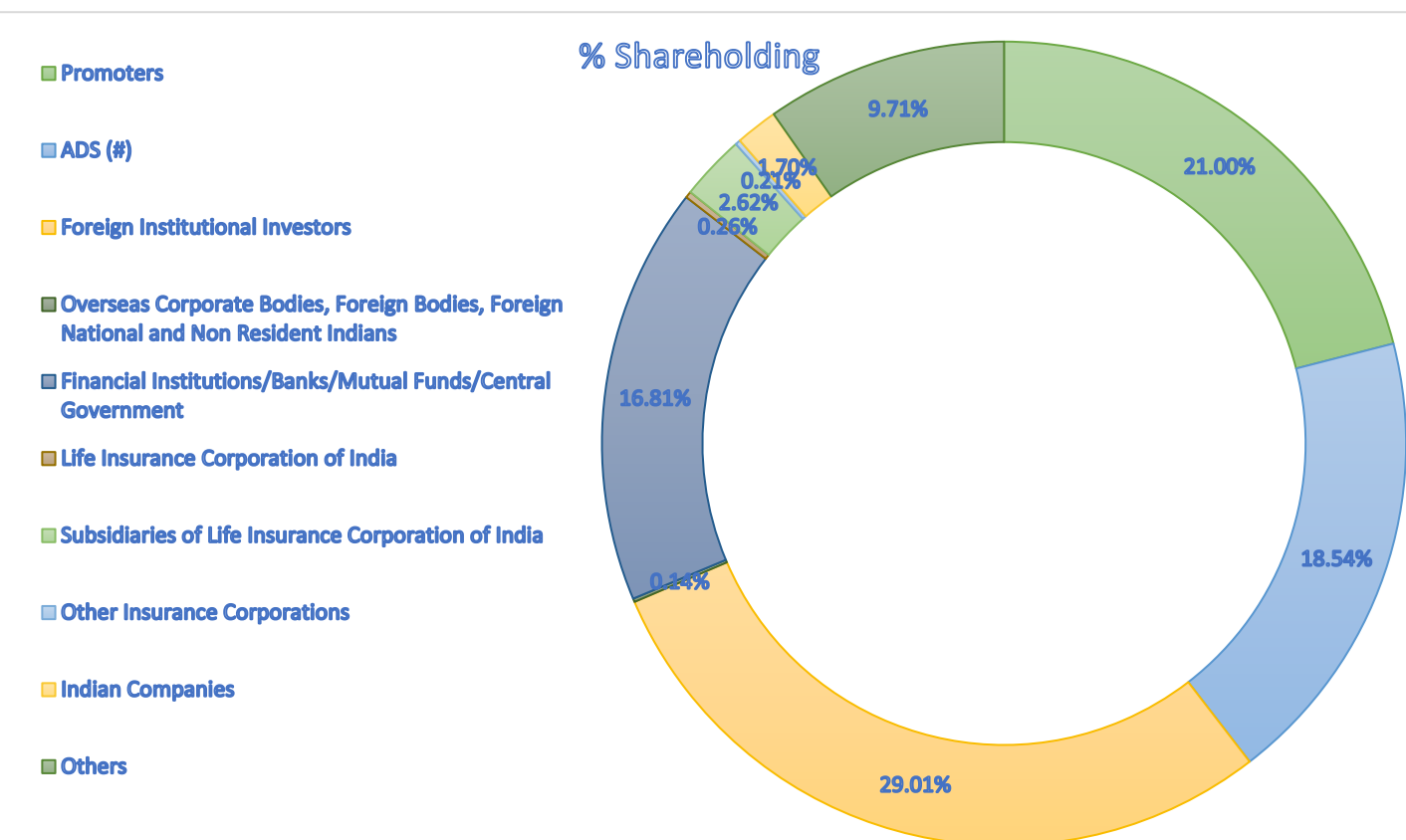
Liquidity: The bank has a comfortable liquidity position with adequate sources of funding from deposits, borrowings and capital markets. The total deposits increased by 16.3% year-on-year to Rs. 1558003 crore as of March 31, 2022.

The current account savings account (CASA) ratio was at around 46% as of March 31, 2022, indicating a stable and low-cost deposit base.

Sensitivity: The bank has a prudent risk management framework that monitors and mitigates various risks such as credit risk, market risk, operational risk and reputational risk. The bank has established policies, processes and systems for identifying, measuring, reporting and controlling risks across its segments.

The bank also conducts stress testing and scenario analysis to assess the impact of adverse events on its financial position.

Summary of Share Holding pattern



The promoters of HDFC Bank are holding 25% of shares, 32% of shares holding by FIIs and 25.6% by DIIs which states that majority holding is held by promoters and institutional investors. It explains the commitment of large institutional investments in the bank. It is seen that FIIs has reduced 5% of their stake from Dec 2021 to Dec 2022.

Also it is worth to note that the percentage pledged by promoter is 0%.

Valuations With Peers of HDFC BANK

Company Name	Price	% Chg	TTM PE	P/B	ROE(%)	1 Yr Perform(%)	Capital Adequacy Ratio(%)	Int. Earned(Rs.)	NIM(%)
HDFC Bank	1,650.70	0.81	21.00	3.70	15.38	9.57	18.90	135,936.41	3.64
ICICI Bank	858.30	1.28	18.35	3.87	14.04	14.39	19.16	95,406.87	3.09
Kotak Mahindra	1,757.80	1.69	24.50	3.62	12.50	-3.27	22.69	33,740.40	4.05
Axis Bank	853.05	1.35	12.74	2.21	11.93	8.97	18.54	68,846.06	2.83
IndusInd Bank	1,115.90	2.83	12.73	2.00	10.06	16.75	18.42	30,822.44	3.73

While talking about the compatibility of HDFC Bank with its peers private companies. HDFC Bank is trading at second Highest P/e ratio of 21 among its peers after Kotak Mahindra bank of 24.50. It is earning highest return on equity among its peers. HDFC Bank also has 2nd highest net interest margin of 3.64% after 4.05% of Kotak Mahindra Bank.

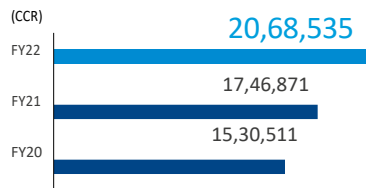
HDFC Bank also has highest interest earned among its peers of Rs.135936.41 crores. HDFC bank has also capital adequacy ratio of 18.90 which is well above the statutory requirements. The capital adequacy ratio of HDFC Bank is also within the range of industries capital adequacy ratio.

HDFC Bank can be considered at good prospect among its peers.

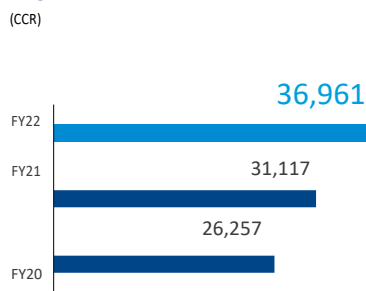
Summary Of Financials Of HDFC Bank Ltd

HDFC Bank has very good financials here are the results of HDFC Bank Ltd of previous 3 years :-

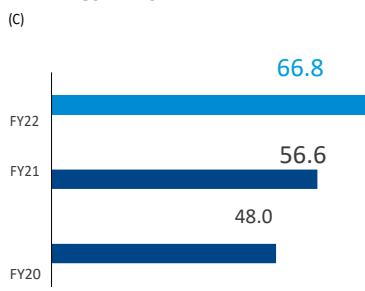
BALANCE SHEET SIZE



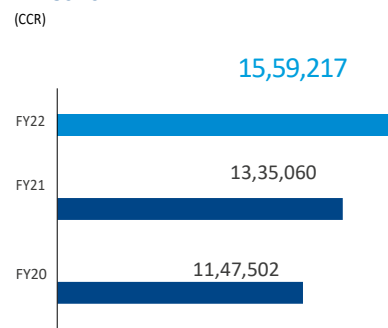
PROFIT AFTER TAX



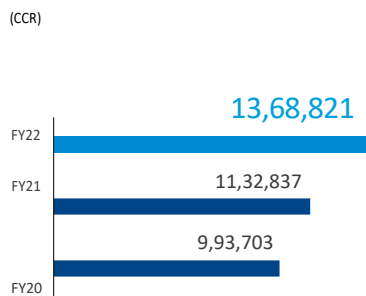
EARNINGS PER SHARE



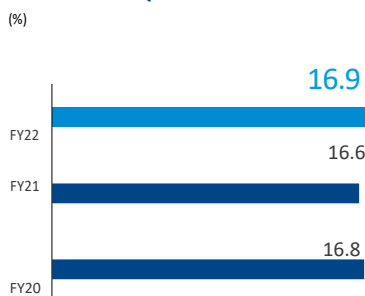
DEPOSITS



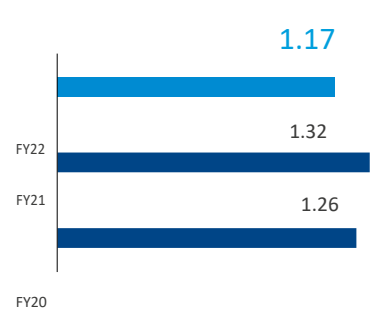
ADVANCES



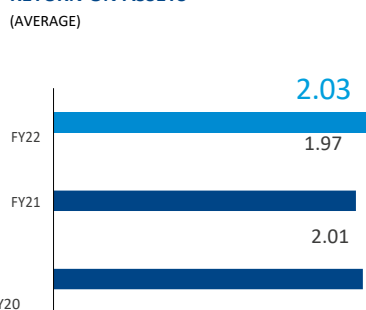
RETURN ON EQUITY



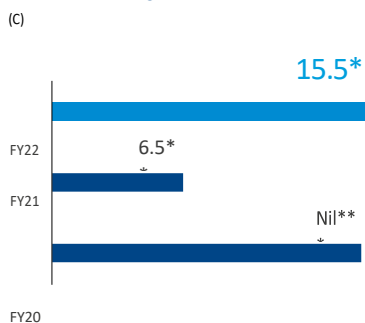
GROSS NPA RATIO



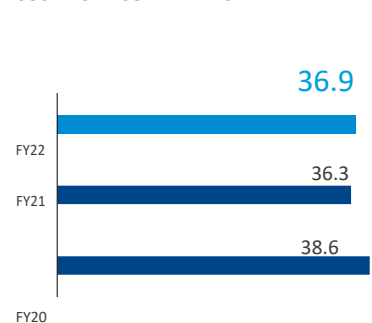
RETURN ON ASSETS



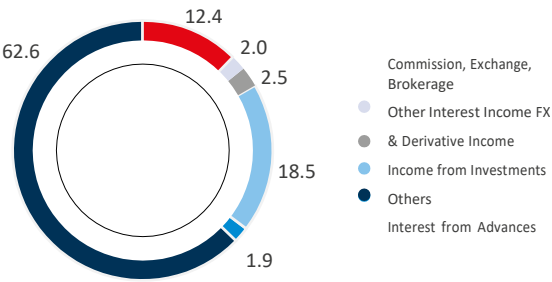
DIVIDEND PER SHARE



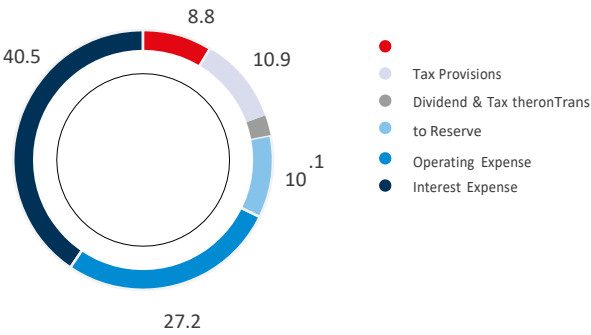
COST TO INCOME RATIO



RUPEE EARNED (%)
 FY22



RUPEE SPENT (%)
 FY22



Technical Analysis of HDFC Bank Ltd



HDFC Bank's current stock price is at Rs. 1649, trading within a range of support at Rs. 1590 and resistance at Rs. 1701. The stock reached its resistance level on January 24 and touched the support level on January 27. From January 27, the price has risen to Rs. 1676, and on February 15, a hanging hammer candlestick was formed, indicating a potential bullish reversal pattern.

However, it's important to note that the 14-day simple moving average is currently cutting the 27-day moving average from above, indicating a potential bearish trend in the near future.

Overall, HDFC Bank's technical analysis suggests that the stock is currently in a range-bound market, with potential for a bullish reversal based on the hanging hammer candlestick pattern. However, the bearish trend indicated by the moving averages should also be taken into consideration. It is recommended to perform further analysis and consult with a financial professional before making any investment decisions.

Details about HDFC Bank Ltd stock

Previous Close	1664.75
Open	1640.00
High	1667.00
Low	1640.00
VWAP	1,655.47
52 Wk High	1,721.85
52 Wk Low	1,271.75
Upper Price Band	1,831.20(10%)
Lower Price Band	1,498.30(10%)
2W Avg Qty`(Lakh)	0.82

TTQ (Lakh)	0.60
Turnover (Cr.)	9.96
Mcap Full (Cr.)	9,18,452.51
Mcap FF (Cr.)	7,25,577.48
Face Value	1.00
EPS (TTM) ⓘ	75.52
CEPS (TTM)	75.52
PE	22.04
PB	3.65
ROE	16.57

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